SHORE

Exam Number: ☐ ☐ ☐

Year 12
SHORE HSC Business Studies
Trial Examination
2019

General instructions

- Reading time – 5 minutes
- Working time – 3 hours
- Write using black or blue pen
- Draw diagrams using pencil
- Calculators may be used

Total marks – 100

Section I

20 marks

- Attempt Questions 1 - 20
- Allow about 35 minutes for this section

Section II

40 marks

- Attempt Questions 21 - 24
- Allow about 1 hour 15 minutes for this section

Section III

20 marks

- Attempt Question 25
- Allow about 35 minutes for this section

Section IV

20 marks

- Attempt Question 26
- Allow about 35 minutes for this section

Note: Any time you have remaining should be spent revising your answers.

DO NOT REMOVE THIS PAPER FROM THE EXAMINATION ROOM

Section I

Total marks (20)
Attempt Question 1-20
Allow about 35 minutes for this section

Use the multiple-choice answer sheet for Questions 1-20.
Select the alternative A, B, C or D that best answers the question. Fill in the response oval completely.

Sample 2 + 4 = (A) 2 (B) 6 (C) 8 (D) 9

A ○ B ● C ○ D ○

If you think you have made a mistake, put a cross through the incorrect answer and fill in the new answer.

A ● B ~~●~~ C ○ D ○

If you change your mind and have crossed out what you consider to be the correct answer, then indicate this by writing the word correct and drawing an arrow as follows:

correct

A ~~●~~ B ~~●~~ C ○ D ○

Section I **Multiple Choice** **20 Marks**

1 Which human resource process involves managing the needs of staff for health and safety, industrial relations and legal responsibilities, including compensation and benefits, of all staff?

(A) Separation

(B) Acquisition

(C) Development

(D) Maintenance

2 What is the name given to a small segmented market which targets a specific group of customers?

(A) Intermediate

(B) Consumer

(C) Niche

(D) Industrial

3 What is the name of the document that sets out the terms and conditions of employment for employees at a particular workplace?

(A) Common law contract

(B) Modern award

(C) National employment standards

(D) Enterprise agreement

4 What is the ACCC responsible for enforcing?

(A) The Competition and Consumer Act 2010 (Cth)

(B) The Corporations Act 2001 (Cth)

(C) The Trade Practices Act 1972 (Cth)

(D) The Fair Work Act 2009 (Cth)

5 The profitability of a business can best be determined by which of the following ratios?

(A) Expenses ratio

(B) Debt to equity ratio

(C) Current ratio

(D) Return on equity ratio

6 Which of the following is NOT a limitation of financial reports?

(A) Timing issues

(B) Under-capitalising expenses

(C) Notes to the financial statements

(D) Normalised earnings

7 An Australian business, Springboks Legends Ltd, imports its stock from South Africa.

What would happen if the value of the Australia dollar decreased compared to the South African Rand?

(A) There would be no effect on Springboks Legends Ltd

(B) The cost of imports from South Africa would become more expensive

(C) The cost of imports from South Africa would become cheaper

(D) Australian products would become more expensive to South African businesses.

8 Which tool allows a business to record the number of tasks involved in a project and the estimate time needed for each task?

(A) Gantt chart

(B) Task analysis

(C) Task design

(D) Decision tree

9 The result of a SWOT analysis carried out by a major cosmetic company showed that whilst the company has a successful management team, its major competitor is offering a new product free of animal testing.

Which TWO components of a SWOT are these a feature of?

(A) Threat and strength respectively

(B) Strength and threat respectively

(C) Weakness and opportunities respectively

(D) Opportunity and threat respectively

10 Debonairs Pizza has just opened its first store in Sydney. The owners have decided to provide members of the public with vouchers which will enable them to claim a free standard meat lover's pizza from the store.

What pricing strategy is being used to entice customers into the store?

(A) Price points

(B) Skimming

(C) Loss leaders

(D) Market

11 Quay restaurant is featured in an online news article. Which element of the promotions mix is this an example of?

(A) Personal selling and relationship marketing

(B) Sales promotions

(C) Publicity

(D) Advertising

12 Which of the following is NOT an operations influence?

(A) Economies of scale

(B) Cost-based competition

(C) Globalisation

(D) Legal regulation

13 Mango Airlines uses data it obtains from customers to determine the number of flights it needs to schedule to Perth in September.

What type of input is this for Mango Airlines?

(A) Transforming resource

(B) Transformed resource

(C) Transferred resource

(D) Sequencing resource

14 Which of the following is NOT one of the 10 National Employment Standards?

(A) Maximum weekly hours of work – 38 hours per week plus reasonable additional hours

(B) Up to 12 months unpaid parental leave

(C) Up to 14 weeks redundancy pay

(D) 10 days paid personal/carers leave

15 Red Dragon Ltd claims it will correct any defects in the goods that they produce.

What is this output in its operations process called?

(A) Sequencing

(B) Warranties

(C) Scheduling

(D) Customer service

16 A business is launching a new product range via a social media platform and it requires a team of 6 employees to implement.

Which key business functions will be interdependent during the launch process?

(A) Marketing and Finance

(B) Human Resources and Operations

(C) Human Resources and Finance

(D) Marketing and Human Resources

17 Jim is a high-income earner who has purchased a pair of $595 RM Williams boots which his reference group has. Which of the following factors has most influenced Jim's purchasing decision?

(A) Psychological

(B) Sociocultural

(C) Economic

(D) Government

18 A leading car manufacturer has successfully convinced customers its car is fuel efficient. Due to varying customer needs, it sells two varieties of the car at different prices.

What pricing strategy is being employed by the car manufacturer?

(A) Branding

(B) Price points

(C) Price skimming

(D) Positioning

19 Blitz Ltd's debt to equity ratio has changed from 90% to 210%. Its return on equity ratio has increased from 5% to 25%.

Which of the following statements is correct?

(A) Both solvency and efficiency have improved

(B) Both liquidity and profitability have improved

(C) Solvency has deteriorated and profitability has improved

(D) Both solvency and profitability have improved

20 Which of the following are both 'sources of funds' appropriate for a business wishing to expand its operations globally to become a transnational corporation?

(A) Bank overdraft and commercial bills

(B) Rights issue and debentures

(C) Leasing and factoring

(D) New issue of shares and commercial bills

2019 SHORE HIGHER SCHOOL CERTIFICATE TRIAL EXAMINATION

Business Studies

Section II

40 marks **Exam Number:**

Attempt Questions 21–24

Allow about 1 hour and 15 minutes for this section

Answer the questions in the spaces provided.

Question 21 (10 marks)

(a) Outline how operations is interdependent with finance. **2**

(b) Using an example, explain how a business might monitor and control its operations process. **4**

Question 21 continues over the page

(c) With reference to a business you have studied, explain how globalisation can influence the operations management of this business. **4**

End of question 21

Question 22 (10 marks) **Exam Number:**

a) Outline the strategic role of financial management. **2**

b) With reference to a business you have studied, recommend TWO cash flow management strategies this business could use to improve its cash flow. **4**

Question 22 continues over the page

c) Explain why it is important for a business to match the terms and source of finance to business purpose. **4**

End of question 22

Question 23 (10 marks) **Exam Number:**

Nedbank Ltd is a large business with over 450 employees across Australia. Management at Nedbank Ltd need to reduce company costs due to its falling profits. Management has decided to outsource aspects of its Human Resource function to Manilla which will result in a number of redundancies. It is also due to re-negotiate the company's enterprise agreement with its staff.

(a) Identify TWO stakeholders in the human resource process. **2**

(b) Explain how Nedbank Ltd should manage the process of separation. **4**

(c) Describe TWO legal influences on human resource management at NedBank Ltd. **4**

End of question 23

Question 24 (10 marks) **Exam Number:**

(a) Outline the production approach to marketing. **2**

(b) Using an example, describe how a business would use e-marketing to promote itself to its target market. **2**

Question 24 continues over the page

(c) With reference to a business you have studied, explain how this business could use different pricing strategies to market its goods and services. **6**

End of Question 24

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Section III

20 marks **Exam Number:**

Attempt Question 25

Allow about 35 minutes for this section

Answer the questions in the writing books provided. Extra writing books are available.

In your answer you will be assessed on how well you:

- ■ demonstrate knowledge and understanding relevant to the question
- ■ apply the hypothetical business situation
- ■ communicate using relevant business terminology and concepts
- ■ present a sustained, logical and cohesive response in the form of a business report

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Question 25 (20 marks)

Dapper One Ltd is a men's high quality fashion clothing label operating in the Sydney CBD which targets metro sexual men between the ages of 18-30. Competition in this niche market is increasing with new fashion labels due to enter the market in the next 6 months. Management at Dapper One Ltd are wanting to re-plan their marketing process and implement this plan immediately. The company is also looking to expand by opening up another store in the Melbourne CBD. Costs over the last year have been increasing and the business has been exposed negatively to a weakening Australia Dollar when importing some of its high end clothing labels from the UK.

You have been employed as a consultant to prepare a report for the management of Dapper One Ltd. In your report:

- Outline ONE consumer law which could influence how Dapper One Ltd markets its new store in Melbourne.
- Describe the marketing process of conducting a situational analysis.
- Recommend TWO appropriate external sources of finance available to management of Dapper One Ltd to fund the opening of the new Melbourne store.
- Analyse ONE cost control Dapper One Ltd could use to decrease its rising costs and ONE global financial management strategy it could implement to reduce the adverse effect of a weakening Australian dollar on its imports.

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Business Studies

Section IV **Exam Number:**

20 marks

Attempt Questions 26

Allow about 35 minutes for this section

Answer the question in a SEPARATE writing booklet. Extra writing booklets are available.

In your answer you will be assessed on how well you:

- demonstrate knowledge and understanding relevant to the question
- apply relevant business case study/studies and contemporary business issues
- communicate using relevant business terminology and concepts
- present a sustained, logical and cohesive response

Question 26 (20 marks)

Evaluate the use of outsourcing, technology and performance objectives as operational strategies in achieving a business's financial objectives.

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2019 SHORE HSC BUSINESS STUDIES ASSESSMENT TASK 4

TRIAL EXAMINATION

MARKING CRITERIA

Mark breakdown	
124 students sat the examination	
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Multiple Choice Q1-20	
Marker	**16.8 Avg**
Short Answers	
Q21 Marker WPD	**8.5 Avg**
Q22 Marker WPD	**7.2 Avg**
Q23 Marker WPD	**8.1 Avg**
Q24 Marker JIM	**8.6 Avg**
Q25 EAL	**12.7 Avg**
Q26 Marker External	**14.1 Avg**
Exam	**75.4 Avg**

MULTIPLE CHOICE

Question	Answer
1	D
2	C
3	D
4	A
5	D
6	B
7	B
8	A
9	B
10	C
11	C
12	A
13	B
14	C
15	B
16	D
17	B
18	B
19	C
20	B

SECTION II – Short Answer Questions
QUESTION 21 (Mr Dobes)

a) Outline how operations is interdependent with finance. (2)

Criteria	*Marks*
Sketches in general terms the interdependence of operations and finance	2
Defines operations OR finance OR defines interdependence	1

Interdependence refers to the mutual dependence that the key business functions have on one another. Operations is interdependent with finance as the processes that operations put in place require funds from the financial function to pay for the transformed and transforming resources. Finance is interdependent with operations as finance requires operations to produce a good or service which will be sold to generate future funds.

Interdependence refers to the mutual dependence the key (B) functions have on one another. Operations is dependent on finance to provide them with funds so that the operations function can conduct the processes necessary to transform inputs into outputs. Finance is dependent on the operations function to produce a good/service that can be sold for a profit so that finance can fund the other functions of the (B), including human resources and marketing.

2

b) Using an example, explain how a business might monitor and control its operations process. (4)

Criteria	*Marks*
Clearly shows the effect of how a business might monitor and control its operations process, with reference to an example	4
Shows the effect of how a business might monitor and control its operations process, with reference to an example	3
Sketches in general terms how a business might monitor and control its operations process	2
Reference to how an operations manager might monitor and control its operations process	1

Sample Answer: Monitoring is the process of measuring actual performance against planned performance. Control occurs when KPIs are assessed against predetermined targets and corrective action is taken if required. McDonalds would monitor the production of its burgers by measuring its actual production time and quality against its predetermined standards. If the actual production time or quality is below the standard then McDonalds would take corrective action to improve the speed/time or quality of its burgers.

Monitoring refers to the process by which a (B) will measure actual and planned performance of their operations processes by assessing performance against KPI's (Key Performance Indicators) whilst controlling refers to the way a (B) will undertake corrective action if necessary. Monitoring and controlling are both fundamental to the operations process because it enables a (B) to measure if they are conducting their process efficiently and effectively to meet their targets, and then take corrective action make their process more efficient and effective if it is not meeting their targets. A core KPI at QANTAS is their on-time arrivals and departures from their flights. To measure

4

Question 21 continues over the page

this performance indicator, ~~[illegible]~~ QANTAS annually measures the percentage of their on-time arrivals and departures (83.7% 2018). Following their huge loss in 2015, QANTAS took corrective action to improve their on-time arrivals and departures to [illegible] their operations process by training pilots of its [illegible]

c) Using a business you have studied, explain how globalisation can influence the operations management of this business. (4)

Criteria	*Marks*
With reference to a business, clearly shows how globalisation can influence the operations management of this business	4
With reference to a business, shows how globalisation can influence the operations management of this business	3
Sketches in general terms how globalisation can influence operations management	2
Makes reference to how globalisation can influence operations	1

Sample answer: Globalisation refers to the removal of barriers of trade between nations. This could have a significant impact on the operations process of a business like Qantas. Globalisation will enable Qantas to source raw materials (fuel, food) using global supply chains ("global web"); these inputs may be of better quality or lower cost. Global outsourcing of parts of production (maintenance) is another opportunity which could be explored, to take advantages of lower wage costs overseas. Globalisation will also allow Qantas to sell its outputs (flights) to global consumers who desire global brands, as well as expanding the overall market for a business' output, possibly resulting in the achievement of economies of scale for the operations of the business.

Globalisation refers to the increasing level of economic integration between nations, leading to the ~~[illegible]~~ emergence of a global markets. Globalisation has had a significant impact on operations management, as it has increased the potential for a B to take advantage of improvements ~~in~~ to efficiency and effectively to all three aspects of the operations process, namely inputs, transformation process and outputs. Globalisation has meant that B's are able to globally source their materials and inputs, as well as globally outsource many of their non-~~core~~ B function. QANTAS takes advantage of global outsourcing by outsourcing the maintenance of their A380s to manilla in the Phillipines. Moreover, QANTAS has been opened up to a greater global market through the process of globalisation, enabling them to operate in new and emerging markets such as in Asia. The process of globalisation has therefore influenced QANTAS' operations by opening them up to new global markets and enabling them to take advantages of a wider pool of technology, human resources and inputs, ultimately enabling the B to be more efficient and effective in its operations process by decreasing costs and improving quality.

4

End of question 21

QUESTION 22 (Mr Dobes)

a) Outline the strategic role of financial management? (2)

Criteria	*Marks*
Sketch in general terms the strategic role of financial management	2
Attempts to define financial management	1

Sample Answer: The strategic role of financial management is the long-term planning and monitoring of a business's financial resources to enable the business to achieve its financial objective of profit maximisation.

a) **Outline the strategic role of financial management.** **2**

The strategic role of financial management involves the long-term planning and implementing of a business' financial resources to allow the business to achieve its overall financial goal of profit maximisation.

2

Distribu

b) Using a business you have studied, recommend TWO cash flow management strategies a business could use to improve its cash flow. (4)

Criteria	*Marks*
Provides reasons in favour of TWO cash flow management strategies a business could use to improve its cash flow AND links to a case study	4
Provides characteristics and features of TWO cash flow management strategies a business could use to improve cash flow AND links to a case study	3
Indicates the features of ONE cash flow management strategy a business could use to improve its cash flow OR identifies TWO cash flow management strategies a business could use to improve cash flow	2
Identifies ONE cash flow management strategy a business could use to reduce its cash flow	1

Answers could include: discounts for early payments, distribution of payments and factoring

Sample Answer: Cash flow management is the matching of cash inflows and outflows to result in a positive net cash flow. One strategy which a business could use to result in a positive net cash flow is the distribution of payments. This is spreading large one off expenses over the year into monthly installments to ensure that large expenses do not occur at the same time or result in cash shortfalls in a particular month. This means there is a more equal cash outflow each month rather than large outflows in particular months. Qantas could breaks down its fuel costs and maintenance costs into monthly payments/installments throughout the year which has enable the company to maintain an ongoing positive net cash flow.

b) **With reference to a business you have studied, recommend TWO cash flow management strategies this business could use to improve its cash flow.** **4**

Cash flow management refers to the consideration of availability of current assets, namely cash, and implementing strategies to ensure the business is liquid enough when necessary. Any business must first construct a cash flow statement so that they can identify any cash flow issues. Two strategies that a business such as Qantas could implement include distribution of payments and discounts for early payments. When Qantas buys a new plane, it is unwise to pay for the whole cost upfront, as that will significantly reduce the current assets. Therefore they should distribute the payment which involves spreading the payment out over a period of time, and paying in increments. Additionally when Qantas is owed money they can offer discounts for early payments ~~to~~ encourage ~~to~~ those who need to pay Qantas to do so earlier so that the business has more cash, hence managing cash flow by ensuring availability of cas.

Question 22 continues over the page

c) Explain why it is important for a business to match the terms and source of finance to business purpose. (4)

Criteria	*Marks*
Clearly makes evident the relationship between the **Term** (long or Short) of the debt finance and the **life of the assets** (property, furniture and fittings) AND makes evident the relationship between the **Source** (Debt) of the finance and the **Purpose of finance** (Costs of finance/ capital structure/ advantages of using long term debt finance).	4
Sketches in general terms the relationship between the **Term** (long or Short) of the finance and the **life of the assets** (property, furniture and fittings) OR makes evident the relationship between the **Source** (Debt) of the finance and the **Purpose of finance** (Costs of finance/ capital structure/ advantages of using long term debt finance).	3

Sketches in general terms a type of debt finance and/or the terms of the debt finance.	2
Identifies a source of finance	1

Sample Answer: Using the appropriate type of debt finance is vital as this will enable a business to be efficient and cost effective in regards to its repayments. It is vital for a business to determine the purpose of the funds being raised as this will influence the type of funds and the terms of the contract. If a business requires finance to purchase long term assets (property, fixtures and furniture) the most appropriate source of finance is long term funds as this has a lower interest rate and repayments can be spread over a longer period which will reduce the monthly instalments and be less detrimental on the business' cash flow.

Terms of finance refers to the purpose for which a business needs to seek finance usually considers type of asset (current/non-current) and size of loan required. Sources of finance refer to the type of source the business selects this includes internal finances, external debt finance, both short term; e.g overdraft, and long term e.g mortgage, and external equity finance: shares. It is important for a business to match terms and sources of finance as without doing so the business is likely incurring expenses, through taking out a loan that is not appropriate. For example, if a business needs quick access ~~to~~ a relatively small amount of cash, that they know they can pay off soon the business may use an overdraft due to being easily accessible and highly flexible and can therefore be paid of in the short term. A mortgage however would be unwise as the business would have to take out way too much finance and due to the lack of flexibility, ~~could~~ would be locked into paying off the loan for too long. Conversely, a mortgage would be appropriate for a property, due to the asset being non-current, a higher amount of cash needed, that cannot be quickly paid off, hence an overdraft would cause unnecessary expense due to the high interest rate

4

QUESTION 23 (Mr Dobes)

a) Identify the TWO stakeholders in the human resource process. (2)

Criteria	*Marks*
Correctly identifies the TWO stakeholders in the human resource process	2
Correctly identifies ONE stakeholder in the human resource process	1

Answers could include: employers, employees, unions, employer associations, government, and society

(a) **Identify TWO stakeholders in the human resource process.** **2**

Employees and Employers

2

b) Explain how Nedbank Ltd should manage the process of separation. (4)

Criteria	*Marks*
Clearly shows how Nedbank Ltd should manage the process of separation	4
Attempts to show how Nedbank Ltd would manage the process of separation	3
Sketches in general terms separation	2
Identifies types of separation	1

Sample Answer: Separation is where an employee leaves a business, which may be voluntary or involuntary. In Nedbank's case, the business is having to make certain employees redundant. This refers to employees losing their jobs as the position is no longer needed. The HR department must ensure it follows the legal requirements in regards to redundancies and ensure the redundancy decision they make has the least financial impact on the company's profits. Management must also be clear with staff about the reasons for the redundancies and communicate who is being made redundant in a timely manner. Up to 5 weeks' notice of redundancy must be given to the relevant staff and they must also be paid a redundancy package (up to 16 weeks) based on their length of service at the company. Nedbank will need to determine which staff are best to retrench and how this will impact the company's redundancy costs and the motivation of the remaining staff.

In order to avoid unnessesary dispute, legal fees and potentially reduced motivation of other employees within the (6), ~~[illegible]~~ Nedbank must be legally compliant in its process of separation. It must issue redundancy payments as it is making numerous positions redundant. it must comply with the National Employment Standards minimum amount of notice to the employees that will be retrenched, to give these employees time to get their affairs in order. Furthermore, Nedbank should be transparent in ~~[illegible]~~ ~~separation~~ the separation process with other employees. It must be clear in explaining to other, existing employees the circumstances of why it has made those positions redundant ~~because~~ so to ensure trust with existing employees stays intact to ensure a motivated group of employees despite these redundancies especially as it is ~~[illegible]~~ due to re-negotiate the company's enterprise agreement with its staff.

4

c) Describe TWO legal influences on human resource management at NedBank Ltd. (4)

Criteria	*Marks*
Provides characteristics and features of TWO legal influences on human resource management at Nedbank Ltd.	4
Sketches in general terms TWO legal influences on human resource management at Nedbank Ltd OR provides characteristics and features of ONE legal influence on human resource management at Nedbank Ltd and identifies another legal influence.	3
Identifies TWO legal influences on human resource management OR sketches in general terms ONE legal influence on human resource management	2
Identifies ONE legal influences on human resource management	1

Answers could include: the employment contract – common law (rights and obligations of employers and employees), minimum employment standards, minimum wage rates, awards, enterprise agreements, other employment contracts
– work health and safety and workers compensation – antidiscrimination and equal employment opportunity

Sample Answer:
Nedbank is in the process of re-negotiating its enterprise agreement and making a number of positions redundant. Legally, Nedbank must ensure the conditions of employment laid out in the new enterprise agreement meets the ten minimum employment standards (NES) in order for the agreement to be approved by the Fair Work Commission. It must also ensure it correctly provides staff who are being retrenched with the appropriate notice period of up to 5 weeks and the correct redundancy payout of up to 16 weeks, both based on the length of service. The enterprise agreement must also meet the BOOT (better off overall test) for it to be certified as a legally binding agreement.

$19.49 ✓ NES ✓ WHS ✓

(c) Describe TWO legal influences on human resource management at NedBank Ltd. 4

Nedbank must consider the legal influence of the 10 National Employment Standards that are a base minimum of the standards expected of employment. As such in the issuing of its new enterprise agreement it must ensure that it complies to aspects such as maximum hours of weekly work (38 hours per week plus reasonable additional hours), and up to 12 months unpaid parental leave and minimum 4 weeks paid annual leave. Further, Nedbank must ensure that its enterprise agreement exceeds the current minimum wage that is $19.49 per hour. Finally Nedbank must ensure that it is compliant with Antidiscrimination laws in its issuing of its enterprise agreement and general operations. For instance the it could not fire a woman for getting pregnant.

4

QUESTION 24 (Mr McClelland)

a) Outline the production approach to marketing. (2)

Criteria	*Marks*
Sketches in general terms the production approach to marketing.	2
Defines production	1

Sample Answer: The production approach to marketing focuses the business efforts on improving the production methods used to make the goods and services. It is not customer focussed or even sales focussed, the approach takes the attitude that if the business produces goods and services customers will buy them.

(a) Outline the production approach to marketing. **2**

The production approach to marketing refers to the approach where the B believes that consumers will be most inclined to purchase products that are cheapest, mass-produced, most - readily avilable and most accessible for the consumer. This approach dominated marketing between the 1890s to the 1920s, prior to the selling approach and the marketing approach. This approach has therefore since declined in popularity, yet is still used by some firms today.

2

b) Using an example, describe how a business would use e-marketing to promote itself to its target market. (2)

Criteria	*Marks*
Gives characteristics and features of e-marketing and demonstrates how it can be used to promote a business to its target market. Must use and example.	2
Defines e-marketing, may use an example.	1

Sample answer: E-marketing or electronic marketing is the use of the internet to perform marketing activities. For example many businesses use social media as a way to reach their target market with advertising messages. This allows a business to target potential customers as the marketing messages can be tailored to peoples search criteria – so the advertising effort is efficient, reaching the target market.

E-marketing refers to the B increasingly to markets itself on the internet to reach wider audiences as a result of the developments in technology. Social media Advertising (SMA) is increasingly used by B's as a means to promote itself to its target market as a result of increasing ~~...~~ numbers of society on social media platforms such as Instagram, Facebook, Twitter and Snapchat. As such, B's such as QANTAS are able to effectively promote to a wider audience and as such incapsulate its target market.

2

c) With reference to a business you have studied, explain how this business could use different pricing strategies to market its goods and services. (6)

Criteria	***Marks***
Relates cause and effect of one or more pricing strategies on the marketing objectives of a business. Clearly defines at least one appropriate strategy AND links the use of this strategy to the businesses marketing. Answer must refer to a case study business, showing how the strategy has resulted in achieving a marketing objective.	5-6
Sketches in general terms an appropriate price strategy and attempts to link to a marketing objective. Refers to a case study business in the answer.	3-4
May identify an appropriate price strategy, may refer to a case study business.	1-2

Answer could include: skimming, penetration, loss leaders, price points

Sample answer: Price strategies refer to the different pricing tactics a business can use to generate sales, build market share and achieve its marketing objectives. Price strategies include price skimming, price points, penetration pricing and loss-leaders. Loss-leaders is a pricing strategy that a business would use to build market share and attract consumers into their businesses. Loss –leader involves giving away or selling a product at below cost to attract a customer to a business, the business then hopes to sell other products or develop a long term relationship with that customer in order to generate profits into the future. When Officeworks opens a business in a new area they send all businesses within the area a letter announcing their arrival and giving a voucher for $30 of free product. As a result new customers are tempted to experience Officeworks, see their product range. While it may make an initial loss of $30 free goods, the establishment of market share and ongoing business customers helps Officeworks make profits in the long-run. Price points is another strategy that businesses can use to increase their market coverage. Price points involves selling a good or service at different price ranges to indicate the level of service or quality. By using price points a business can broaden their target market across different socio-economic range. Qantas uses a price point strategy when it charges different ticket prices for its economy, business and first-class seats on the same flight. The price of the seat reflects the service and quality that passengers can expect and allows Qantas to target different customers on one flight, thus building their sales and market share.

Loss Leader, Price Penetration, Price Points, Price Skimming

(c) With reference to a business you have studied, explain how this business could use different pricing strategies to market its goods and services. **6**

Pricing strategies refer to the different strategies that a B uses to price itself in the market to gain market share and result in good sales performance. Due to the inherent interaction between price and quality, B's must ensure there pricing strategies produce the desirable ~~...~~ belief a consumer will have about the quality of their products. Price points refers to the different prices a B will sell ~~...~~ ~~...~~ variations of the same product due to varying consumer needs. As all airlines in the industry do, QANTAS effectively uses ~~...~~ ~~...~~ price points to position its business class service as one to fit the ~~...~~ ~~corporate~~ notion of a corporate airline that is suitable for those in the B world. The B ~~...~~ also offers an economy service that is more marketed for regular Australians who fly because of the safety and the brand of QANTAS. 6

~~Penetration pricing~~ ~~...~~ refers to a pricing strategy where a B will charge the lowest price in the market to quickly attain market share. As a part of its dual brand strategy, QANTAS' subsidiary Jetstar effectively used ~~...~~ penetration pricing when it launched to quickly attain market share as a low-cost alternative to its competitor Virgin to undercut their market share. Finally, price skimming is where a B will charge the highest price in the market to "skim the cream" of the market. This strategy gives the B an aura of quality in the mind of the consumer. QANTAS could use this pricing strategy to reinforce it's position and gain from the fact it is the safest airline in the world.

End of Question 24

Marking Criteria – Business Report Question 25 (Mr Lawry)

Criteria	*Mark*
•Sketches in general terms ONE consumer law which could influence how Dapper One Ltd markets its new store in Melbourne. • Provides detailed characteristics and features of the marketing process of conducting a situational analysis • Provides reasons in favour of TWO appropriate external sources of finance available to management of Dapper One Ltd to fund the opening of the new Melbourne store. • Draws out and clearly relates the effect of ONE cost control and the use of hedging and derivatives by Dapper One Ltd to resolve its financial issues. • Presents a sustained, logical and cohesive business report integrating relevant business terminology and concepts • Makes effective use of the information provided, demonstrating extensive knowledge and understanding relevant to the question and hypothetical situation	17 - 20
• Attempts to sketch in general terms ONE consumer law which could influence how Dapper One Ltd markets its new store in Melbourne • Provides characteristics and features of the marketing process of conducting a situation analysis • Provide characteristics and features of TWO appropriate external sources of finance available to management of Dapper One Ltd to fund the opening of the new Melbourne store. • Makes evident the relationship between ONE cost control and ONE global financial management strategy and the financial issues facing Dapper One Ltd. • Presents a logical and cohesive business report and uses relevant business terminology and concepts • Makes some use of the information provided, demonstrating knowledge and understanding of the question and hypothetical situation	13 – 16
• Defines consumer law • Provides some characteristics and features of a situation analysis • Provides some characteristics and features of TWO external sources of finance • Provides some characteristics and features of ONE cost control and ONE global financial management strategy • Includes some features of a business report and uses some business terminology and concepts • Demonstrates some understanding relevant to the question and may or may not apply the hypothetical situation	9 – 12
• Identifies ONE consumer law • Sketches in general terms the marketing process of conducting a situation analysis • Sketches in general terms ONE external source of finance • Sketches in general terms ONE cost control and/or ONE global financial management strategy • May include some features of a business report and uses basic business terminology	5 – 8
• May refer to consumer law and/or marketing processes and/or sources of finance AND/OR financial management strategies. •Uses basic terminology	1 - 4

Comments:

Question 25 Business Report – Markers comments.

Report structure

- Most students were able to write a sound executive summary.
- Weak responses did not answer the Q briefly in exec summary.
- Best students did a comprehensive plan – while this is not essential it indicates that these students got their ideas in order before they started writing.
- Middle to weak students do not use headings and sub-headings effectively – either no headings or subheadings or inappropriate ones.
- All students need to realise that simply writing more booklets **DOES NOT** equate to a higher mark. Do not fill up booklets for the sake of it – concise, structured sentences that make logical sense are always more appropriate.
- Students NEED an conclusion – called "summary of recommendations"
- In relation to consumer law, the better responses made reference to the ACCC, the Competition and Consumer Act 2010 as well as Australian Consumer Law.
- For the situation analysis, it was beneficial to identify the fact that this is the first step in the Marketing Process / plan; the better responses linked key elements of a SWOT to the stimulus, identifying Strengths, Weaknesses, Opportunities and Threats of the business.
- Too many students did not mention the Product Life Cycle as part of the Situation Analysis
- External sources of finance needs to be considered in the context of the stimulus. Don't recommend the two external sources that first come to mind, consider the issues with this business (mainly that they are facing rising costs and they are looking at expansion which is a long term objective). Hence an overdraft is not the optimal source of capital. You also need to recognise that this business is 'Ltd', hence already a public company. A 'new issue' was ok if it was referring to an additional raising of equity, but a new issue via an IPO is not. The best options were Mortgage, Leasing and any of the equity options other than new issue. Unsecured notes and debentures, while not totally incorrect, were poor choices given the stimulus and the better alternatives on offer.
- With respect to hedging, this was imperative for addressing the weakening AUD but you must then introduce derivatives. The very best responses then identified a particular derivative (forward exchange contract, option or swap) and were able to state how this would benefit the business.

SECTION IV Question 26 (External Marker)

Evaluate the use of outsourcing, technology and performance objectives as operational strategies in achieving a business's financial objectives.

Criteria	
• Makes a well-reasoned judgement based on criteria regarding the use of outsourcing, technology and performance objectives as operational strategies a business could implement to achieve its financial objectives • Applies relevant case study/studies and contemporary business issues • Presents a sustained, logical and cohesive response and communicates clearly using relevant business terminology and concepts	17-20
• Makes some judgement regarding outsourcing, technology and performance objectives a business could implement to achieve its financial objectives • Uses relevant case study/studies and contemporary business issues • Presents a logical and cohesive response using relevant terminology and concepts	13-16
• Provides characteristics and features of outsourcing, technology and performance objectives and may make reference to achieving a business's financial objectives • May make reference to case study/studies and contemporary business issues • Communicates using business terminology and concepts	9-12
• Sketches in general terms outsourcing and/or technology and/or performance objectives and/or financial objectives • May make reference to case study/studies and/or contemporary business issues • Communicates using some business terminology and concepts	5-8
• Makes limited reference to outsourcing and/or technology and/or performance objectives and/or financial objectives • May identify case study/studies • Uses basic business terminology	1-4

Answers could include:

<u>*Operations strategies:*</u>

Outsourcing- advantages – improve efficiency and productivity – allow the business to focus on core function/activity and improve operational performance and quality in that area – lower costs for the outsourcing activity – recognises difficulties with outsourcing (particularly globally) such as communication issues, language barriers , different cultures, different levels of education and training, recognising qualifications

Technology – establish and leading edge technology – improve efficiency and lower long-term costs – improve quality – reduce on-costs for staff – students recognise that short-run is expensive and may impact on solvency/cash flow/profitability, but in long-run can lead to savings, improved quality, capital labour substitution. Students may recognise some reasons to resist change to outsourcing and technology

Performance objectives – improve quality – increased speed of production – ensure consistent dependability – improve flexibility – allow for customisation – reduce costs of production – can be used as a KPI to benchmark performance– link to customer satisfaction/word of mouth/reputation/ sales and profits.

<u>*Financial objectives:*</u>

Improved liquidity – better current ratio

Increased profitability – higher ROE, NP and GP ratios

Increased efficiency – quicker ART ratio and lower expenses ratio

Increased Growth – expansion of the business – increased sales and market share, globalisation of the business

Improved solvency – better Debt to equity ratio – lower gearing and improve stability

Students may recognise conflicts between financial objectives – or may recognise short and long term implications of technology and outsourcing on financial goals.

Marker's Feedback 2019 Trial Question – Question 26 Extended Response

The introductions were much improved. A good introduction includes the 3 operations strategies mentioned in the question, listed what the financial objectives were and introduced the case study.

Most students used Qantas as a case study. There were a few students who did not use a case study at all in this response.

Students should try to use headings throughout the response and can highlight or underline key terms. The question should also be answered in the ordered it is asked- outsourcing, technology and then performance objectives.

It was concerning that many students were not writing in paragraphs. Each strategy should be more than one paragraph. For example, the first paragraph you would explain the strategy, the second you would link the strategy to the case study and then a third paragraph you could link the financial objective.

Students need to take note of what the financial objectives are- they are more than just profit maximisation.

Outsourcing- generally this section was done well, although some students did confuse outsourcing and sourcing- they are different. Due to outsourcing in this section being an operations strategy, students really should have given the example of what was being outsourced was operations- eg maintenance and even the call centres (Some students spoke about outsourcing marketing here)

When mentioning technology, it is important to mention leading edge and established technology. This demonstrate you are able to identify technology as a strategy, not an influence or process.

Performance objectives- some students got confused on what they were, or they were very generic and just said in their response performance objectives will achieve financial objectives- they needed to be specific on naming the particular objective. Each performance objectives did not need to be defined, but needed to answer the question specifically. If a student was running short of time, it would have been better just to list all of the performance objectives and concentrate on two or three specific performance objectives in order to answer the question.

Students needed to note that the question does ask them to evaluate. Many students only explained strategies. In order to get in the top band students needed to link the operations strategy with the financial objective. For example, when they introduced outsourcing (describe the outsourcing taking place) the following year they saw an increase in profits by .... Better responses did include specific figures for increases in profits or growth etc

By explaining the strategy and then at the end of the paragraph saying that this allows the case study to achieve financial objectives, is not evaluating, the specific financial objectives need to be stated.

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Marking Criteria – Business Report Question 25 (Mr Lawry)

Criteria	*Mark*
• Sketches in general terms ONE consumer law which could influence how Dapper One Ltd markets its new store in Melbourne. • Provides detailed characteristics and features of the marketing process of conducting a situational analysis • Provides reasons in favour of TWO appropriate external sources of finance available to management of Dapper One Ltd to fund the opening of the new Melbourne store. • Draws out and clearly relates the effect of ONE cost control and the use of hedging and derivatives by Dapper One Ltd to resolve its financial issues. • Presents a sustained, logical and cohesive business report integrating relevant business terminology and concepts • Makes effective use of the information provided, demonstrating extensive knowledge and understanding relevant to the question and hypothetical situation	17 - 20 20.
• Attempts to sketch in general terms ONE consumer law which could influence how Dapper One Ltd markets its new store in Melbourne • Provides characteristics and features of the marketing process of conducting a situation analysis • Provide characteristics and features of TWO appropriate external sources of finance available to management of Dapper One Ltd to fund the opening of the new Melbourne store. • Makes evident the relationship between ONE cost control and ONE global financial management strategy and the financial issues facing Dapper One Ltd. • Presents a logical and cohesive business report and uses relevant business terminology and concepts • Makes some use of the information provided, demonstrating knowledge and understanding of the question and hypothetical situation	13 – 16
• Defines consumer law • Provides some characteristics and features of a situation analysis • Provides some characteristics and features of TWO external sources of finance • Provides some characteristics and features of ONE cost control and ONE global financial management strategy • Includes some features of a business report and uses some business terminology and concepts • Demonstrates some understanding relevant to the question and may or may not apply the hypothetical situation	9 – 12
• Identifies ONE consumer law • Sketches in general terms the marketing process of conducting a situation analysis • Sketches in general terms ONE external source of finance • Sketches in general terms ONE cost control and/or ONE global financial management strategy • May include some features of a business report and uses basic business terminology	5 – 8
• May refer to consumer law and/or marketing processes and/or sources of finance AND/OR financial management strategies. • Uses basic terminology	1 - 4

Comments:

An exceptional report that has addressed all the key areas in detail and with accuracy.

Well done.

TO: Dapper One Ltd CEO
RE: Increasing competition and expansion
FROM: DAX LIC Consulting

Executive Summary:

Dapper One Ltd (DO) is experiencing increasing global competition and is looking to expand to Melbourne (CBD).

This report will:

• Sketch in general terms price discrimination as a consumer law which will further DO.

• Give characteristics and features of the process of a situational ~~ed~~ analysis including a SWOT analysis and the Product lifecycle

• Recommend ~~the~~ new issue shares and leasing as sources ~~fo~~ of finance for the expansion ~~of~~ of DO.

- Analyse expense minimisation as a cost control ~~and~~ to address increase costs and hedging as a global financial management strat to control the affects of weaken AUD on imports.

7.0 Consumer Laws

Consumer laws are the laws and regulations set out by the Competition and Consumer Act 2010 which is enforced by the ACCC. Laws include:

- Misleading and deceptive advertising
- price discrimination
- warranties
- implied conditions

7.1 Price Discrimination

Price discrimination refers to businesses pricing the same products differently in different markets in an attempt to ~~[illegible]~~ be anti-competitive against competitors in the market.

DO should be aware that they do not price items differently ~~to~~ in the Sydney and upcoming Melbourne shop, otherwise the business could face ~~fined~~ fines of up to $1.2 million from the ACCC. This is anti-competitive behaviour as competitors in Melbourne will face unfair competition from DO if they price their items lower there.

2.0 Marketing Process

The marketing process involves using marketing ~~see~~ resources efficiently and effectively to promote products and achieve marketing objectives. The process includes

- Situational Analysis
- Market research
- Establish marketing objectives
- Identify target markets
- Developing market strategies
- Implement, monitor and controlling market processes.

2.1 Situational Analysis

~~This~~ A situational ~~involves~~ ~~analysis~~ analysis involves investigating and discovering the ~~strength, weakness~~ current ~~set~~ financial, ~~product~~, marketing and operational position of the business at any given time. The ~~&~~ two processes at doing this is through a SWOT analysis and the Product life cycle.

A SWOT analysis involves analysing a businesses strengths, weaknesses, ~~opportunities~~ opportunities and ~~etc~~ threats. This is split up into the into the internal influences (strength + weaknesses) and the external influences (opportunity + threats) so that the business can later create marketing strategies to take advantage of the ~~be~~ business internal strengths and external opportunities while also decreasing the internal weaknesses of the business and minimising the external threats of the business. ~~E~~ In terms of ~~G~~ DO, their strengths are their high quality fasion, weakness is their ~~s~~ small target market of

18-30 year olds. Additionally, their external influences are their opportunity to expand to the Melbourne CBA and their threats are the weakening AUD and increasing international competitors. As ~~are~~ a result, to decrease the threats of the business, DO should consider currency hedging ~~and pricing~~ and decreasing ~~of~~ the ~~cost~~ cost base of the business to ~~minimise~~ increase competitiveness.

Well done.

Furthermore ~~DO~~ DO should consider analysing ~~their~~ the product life cycle of their products. This involves the establishment, growth, maturity, decline and renewal of products and services. Currently ~~D~~ DO's ~~goods~~ products are in the growth ~~sa~~ stage of the cycle which is characterised by increasing market share and sales. However, over the next 6 months as competition increases, ~~D~~ DO's products will begin to enter the maturity stage of the cycle. This is because sales and market share will begin to be ~~ex~~ absorbed by the new competitors in the market.

3.0 Exteral Sources of Funds

Externally, funds can be ~~&~~ sourced either ~~by~~ through debt or equity means. Each option has its advantages and disadvantages. ~~Furthermore~~ Therefore, it is important that the purpose of the ~~f~~ funds are matched to the terms and source of ~~funds~~ funds. The external debt sources of funds are:

- long term (debentures, mortgage, leasing, unsecured notes)
- short term (overdraft, factoring, commercial bills)

and equity sources are

- ordinary shares (new issue, placements, share purchase plan, rights issue)
- private equity.

3.1 New Issue

New Issue shares are a new allotment of shares that are placed on the Australian Securities Exchange that can be bought by individuals or instutions in return for ownership in the business. The advantages of new issue shares are that they provide long ~~term~~ term funds that do not need to be ~~p~~ the paid back, and do not accumulate interest. However, new issue shares decrease ownership in the business, furthermore, ~~the~~ shareholder expect dividend payments which are not tax deductable and shareholders decrease the control of business opperations. However, it is recommended that ~~DO~~ ~~DO~~ DO use new issue shares because they are already incorporated and do not have to ~~produce~~ produce an expensive prospectus document to investors. Furthermore, new issue shares will raise the equity in DO, which will decrease the gearing of the business. Therefore it is recommended that DO use new issue shares a a long term source of finance for their expansion to Melbourne.

Well done.

3.2 Leasing

Leasing involves paying ~~the~~ a ~~the~~ third party provider of equipment and land in return for ~~pay~~ the use of the equipment or property. The advantages of leasing ~~is~~ it is high cost effective in the long run if the initial purchase of property ~~of~~ or equipment is highly expensive. ~~The~~ The disadvantages however is that the business do not own the equipment of property and must pay continual leasing payments usually monthly.

~~Th~~ It is recommended that DO Ltd ~~use~~ use leasing as a long term ~~source~~ financial tool. ~~to~~

~~lease~~ It is recommended that DO lease the new ~~build~~ building in the Melbourne CBD as the initial cost of financing this property will be highly expensive if DO try to use ~~ot~~ long ~~tests~~ term debt options. This is because leasing will not require the business to payback principles on loans or interest, instead they will pay the leasing outs that combine extra ~~cos~~ cost of owning the property in the lease payment.

New booklet

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4.0 Cost Controls

Cost controls are a profitability management strategy which involves ~~predicting~~ controlling the ~~cost~~ expenses ~~are~~ incurred in a business when producing products or services. The cost control strategies of a business include

- expense minimisation
- cost centres

These strategies aim to decrease the ~~cost~~ costs costs of production in an effort to increase the profitability of the business.

4.1 ~~Cost~~ Expense Minimisation

Expense minimisation involves reducing unit cost of production by increasing efficiency of processes and minimising wastage. This cost control strategy can be difficult to implement as their can be

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a wide ~~range~~ range ~~to~~ of costs that the business can minimise. Therefore, it is adviseable to utilise a situational analysis tool such as a SWOT analysis to target [illegible] costs of product. In terms of DO, they will face increasing costs of labour and inputs as they continue to operate in Australian. Therefore, it is recommended that DO utilise the expense minimisation strategy by increasing the role of technology in the production process and outsource ~~manufacturing~~ ~~operations~~ manufacturing operations to global low cost labour ~~supply~~ countries such as Asia. The benefit of this will be, lower transport costs of inputs, as they done not need to be shiped to Australian ~~and instead~~ as they instead by supplied ~~to~~ by asian clothing material manufacturers. Furthermore, implementing technology ~~we~~ will result in less on-costs associated with employing people and ~~[illegible]~~ decrease wastage. Therefore, it is recommended that ~~the~~ DO utilise expense minimisation strategies to decrease

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Their unit costs of production.

5.0 Global ~~ma~~ finance strategy

Global ~~financial~~ strategies help business combat the increased competition in the global market ~~and~~ by providing ~~low cost solutions~~ strategies that save the capital.

Global monetary strategies include:

- exchange rate
- interest rates
- international methods of payment
- hedging
- Derivatives.

These strategies help business reduce the adverse effects of global influences on business such as exchange rate volatility.

P.T.O

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5.1 Hedging

Hedging is a financial strategy used by ~~global~~ business who expose themselves to exchange rate, and commodity price volatility risks. Hedging allows businesses to use financial derivatives to ~~purchase~~ to reduce risk of financial transactions in international ~~cur~~ currency and commodity markets. Currently ~~@~~ DO is experiencing adverse effects of ~~existing~~ a weakening ~~Aud~~ AUD. As a result, using a ~~options~~ a derivative like a options contract ~~to~~ when purchasing inputs is recommended. Options contracts ~~allow~~ give ~~to~~ businesses the option ~~to~~ to purchase currency at a later date at current ~~cu~~ currency prices. As a result this would help DO reduce the financial losses on exchange rate changes when purchasing inputs as an options contract will allow the business to purchase inputs using currency that ~~is~~ ~~still~~ still has ~~be~~ high purchasing power.

P.T.O

It is recommended that:

- DO ~~[illegible]~~ consider the notion of price discrimination of a consumer level
- DO use SWOT and product life cycle in their situation analysis
- DO Use ~~free~~ new issue ~~[illegible]~~shares and leasing to finance the expansion to Melbourne
- Use ~~cost~~ ~~experience~~ experience minimisation and hedging to decrease costs.

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SECTION IV Question 26 (External Marker)

Evaluate the use of outsourcing, technology and performance objectives as operational strategies in achieving a business's financial objectives.

Criteria	
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• Makes limited reference to outsourcing and/or technology and/or performance objectives and/or financial objectives • May identify case study/studies • Uses basic business terminology	1-4

Answers could include:

Operations strategies:

Outsourcing- advantages – improve efficiency and productivity – allow the business to focus on core function/activity and improve operational performance and quality in that area – lower costs for the outsourcing activity – recognises difficulties with outsourcing (particularly globally) such as communication issues, language barriers , different cultures, different levels of education and training, recognising qualifications

Technology – establish and leading edge technology – improve efficiency and lower long-term costs – improve quality – reduce on-costs for staff – students recognise that short-run is expensive and may impact on solvency/cash flow/profitability, but in long-run can lead to savings, improved quality, capital labour substitution. Students may recognise some reasons to resist change to outsourcing and technology

Performance objectives – improve quality – increased speed of production – ensure consistent dependability – improve flexibility – allow for customisation – reduce costs of production – can be used as a KPI to benchmark performance– link to customer satisfaction/word of mouth/reputation/ sales and profits.

Financial objectives:

Improved liquidity – better current ratio

Increased profitability – higher ROE, NP and GP ratios

Increased efficiency – quicker ART ratio and lower expenses ratio

Increased Growth – expansion of the business – increased sales and market share; globalisation of the business

Improved solvency – better Debt to equity ratio – lower gearing and improve stability

Students may recognise conflicts between financial objectives – or may recognise short and long term implications of technology and outsourcing on financial goals.

A good introduction.

Highlight / underline key terms used throughout your response.

Outsourcing is done very well - so much detail.

Technology - good use of figures here.

It is impressive you could write so much under exam conditions. I hope other sections of the paper did not suffer.

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SHORE

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Examination

Business Studies

Date

22nd August

Internal Examination

8

WRITING BOOKLET

Section	Part	Question Number
IV		26

Number of booklets used for this question: 2

1 of 2

Instructions

- Write your Exam Number at the top of this page.
- In the boxes provided write the name and date of this examination, and the number(s) of the question(s) attempted in this booklet.
- If you have not attempted the question, you must still hand in the Writing Booklet, with the words 'NOT ATTEMPTED' written clearly on the front cover.
- Write the number of each question or part in the margin at the beginning of each answer.
- Write using black pen.
- Write on the ruled pages only. You may use the unruled pages for rough work.
- You may ask for an extra Writing Booklet if you need more space.
- Do NOT remove any pages from this booklet.
- **You may NOT take any Writing Booklets, or Exam Papers, used or unused, from the examination room.**

Plan:

- Outsourcing
- Technology
- Performance Objectives

Liquidity
Profitability
Efficiency
Growth
Solvency

Essay begins below ↓

Financial Objectives refer to the indicators of Liquidity, Profitability, Efficiency, Growth, and Solvency which, when attained, will lead to business success. Operations strategies such as ~~[illegible]~~ outsourcing, technology, and performance objectives all contribute towards the achievement of financial objectives in a business, namely Profitability, Efficiency, and Growth, with different strategies contributing to these strategies in different capabilities. An example of a business which has successfully utilised outsourcing, technology and performance objectives is Qantas - the national flag carrier of Australia, operating a mixed fleet to destinations across Asia, Australia, the Americas and Africa. Under the leadership of Alan Joyce, Qantas was able to utilise the three aforementioned operational strategies to post a $1.6 billion turnaround in 2014-15 FY, thus achieving the financial objectives of growth, profitability and efficiency, with this achievement manifesting into long term success for the airline.

Outsourcing

Outsourcing refers to the contracting of business functions to specialist, external businesses, such as catering. By outsourcing business functions, there are many tangible benefits to the business. This includes the ability to focus more business resources on performing the core business functions, further increasing the quality of the output produced. Further to this, since these external specialist businesses often perform the same business function as a contractor for many businesses, their specialist skills can result in an economy of scale, thus reducing the costs for the business outsourcing.

// Outsourcing assists in achieving the financial objectives of profitability and efficiency. As mentioned earlier, by outsourcing business functions to specialist providers, due to the economies of scale achieved by these providers the cost of performing this function will decrease for the business outsourcing. Thus, by outsourcing, the reduction in costs will assist the business to achieve better profits, hence achieving a higher degree of profitability. Further to this, the outsourcing of non-core business functions, such as recruitment, allows for the business to focus more of its effort on its core function. In doing so, assets are not wasted on other non-commercial functions, thus freeing up more assets to perform key business functions and hence, improving the efficiency to which the business performs their core functions. While outsourcing can negatively impact a business, for example a decrease in the quality output, businesses can protect changes to efficiency and profitability 5 practicing praising the ~~strategic~~ outsourcing providers so as to better be in line with the operating procedures of the business.

// Qantas has notably used outsourcing to improve profitability and efficiency. In the loyalty department, the call centers were seeing less use, but due to the high costs of wages for call centre staffs, costed Qantas hundreds of millions of dollars in 2014. However, by outsourcing these call centers to Manilla, Europe (Salesforce) and South Africa over the course of three years from 2014 - 17, Qantas was able to reduce the costs in the loyalty department and improve their profitability, posting a 2017-18 FY result of $1.846 billion, which was equal to nearly half of Telstra's profit for the same period. This demonstrates the use of outsourcing to achieve profitability. Further to this, the subsequent outsourcing of Boeing 747 - 400 (and Ell variant) maintenance to providers such as HAECO ITM in Hong Kong, as well as the Singapore Airlines Engineering Company in Singapore (SIAEC), Qantas was able to reduce their resources dedicated for the maintenance of the Boeing 747, instead redirecting them to other aircraft, such as the Airbus A330. By reducing the number of aircraft types for maintenance from 8 to 7, was able to effectively achieve the efficient use of its assets by outsourcing maintenance of one of those types, allowing its assets to focus on a core group of aircraft.

Technology

Technology refers to the use of innovative devices or methods in the operations process in order to produce a higher quality product for cheaper compared to other methods. Technology, when implemented, can reduce costs due to a more efficient procedure, the elimination of wastage (and thus the use of less inputs) or the elimination of costly human labour. Both leading edge (most recent innovation) and established (ie - already well proven) technology offer the advantages to businesses because, the high capital outlay initially can negatively impact the availability of funds for the business.

// By implementing technology as a strategy, businesses can reduce their costs due to the aforementioned elimination of wastage, human labour, and more efficient processes. While the initial cost outlay for technology is high, the long term cost benefit means that in the long term, profitability will be improved due to lower running costs. Further to this technology can also allow the business to undergo growth, with the increase of technology allowing business to access new markets and to increase the availability of funds otherwise caused by the high running costs.

// Qantas has effectively used technology to achieve profitability and growth. A notable [illegible] of this for profitability would be the $600-million loss in 2014-15 FY. ~~[illegible]~~ The cost cutting measures, the retirement of older Boeing 767 aircraft and the increased use of A330-200 and -300 aircraft allowed the company to execute the subsequent $1.6 billion turnaround for ~~the~~ 2015-16 FY, due to lower running costs for the A330 aircraft, with more advanced Rolls Royce Engines, as a dramatic impact. Furthermore to this, the introduction of the Boeing 787-8 and 787-9 aircraft, as leading edge technology in 2016, allowed Qantas to directly serve the London Market from Perth. The success of this new route, with ~~over~~ 80% capacity filled and an approval rating / satisfaction rating of over 90%, in 2018, shows the strong contribution of new technology to the growth of Qantas into serving new markets.

[illegible] [Continued OTP]

Performance Objectives

// Performance Objectives refer to the metrics of Quality, Speed, Dependability, Flexibility, Cost, and customisation. These metrics allow businesses to judge the success of their product, and often, by achieving performance objectives, a business can achieve its financial objectives. An example would be cost, which, when sufficiently achieved by decreasing costs, would naturally result in profitability.

// These performance objectives, mainly cost and customisation, allow for the attainment of financial objectives. As mentioned earlier, the attainment of cost leadership would result in an improvement to profitability due to the decrease in costs. Further to this, by achieving customisation, a business would be able to better suit the needs and wants of different target markets, by offering a customised product to

(Contd)

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better suit their tastes. This would allow for the business to enter into other markets and offer the product to more people, hence achieving growth as a financial objective.

// Qantas have dynamically and strongly attributed the attainment of performance objectives to help achieve the financial objectives of profitability and growth. With the 2014-15 FY loss of over $600 million the decision by Alan Joyce to focus on cost as a performance objective proved invaluable. By reducing costs, such as outsourcing of non-key call-centres and maintenance, as well as implementing more efficient technology (both of which have been discussed earlier), the resulting effect was a $1.6 billion turnaround to post a 900 million profit in the 2015-16 FY, thus demonstrating the effective use of these

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attainment of cost leadership to drive a boost in profitability. Further to this, the goal of customisation, namely by providing customised meals to better suit local tastes on flights to Asia, such as BBQ Duck Noodle Soup on flights to and from Singapore, Qantas has been able to stabilise margins from [illegible] those on the Sydney - Singapore route, from ~10% in 2014 to ~15% in 2018. As such, this achievement of customisation allowed Qantas to effectively grow its presence along many Asian routes, thus achieving the financial objective of growth.

// Thus, Qantas has effectively demonstrated the use of various operational strategies to achieve financial objectives. By using

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~~[illegible]~~ ~~[illegible]~~ [illegible] to achieve profitability and efficiency, ~~[illegible]~~ ~~[illegible]~~ flexibility to achieve profitability and growth, as well as proper objectives to achieve the same objectives, Qantas has been able to greatly further their financial position and are able to achieve holistic business success, evidenced by the turnaround from a $600 million loss in 2014-15 FY to a over $1 billion profit result in 2017-18 FY.